Darktrace take-private: investment committee memo

Project 08, LBO. Thoma Bravo's acquisition of Darktrace plc at $7.75 per share, effective 1 Oct 2024. Retrospective IC exercise using reported financing and an assumed operating plan. Financing terms require primary-document confirmation. Model: models/Darktrace_04_08.xlsx (LBO, Downside, LBO grid). $m unless stated. Not investment advice.

Recommendation

Reject unconditional approval at $7.75: require a funded liquidity plan and verified financing terms. The base case returns a 23% IRR and 2.7x MOIC over 4.75 years to a June 2029 exit at 18x EBITDA. The return rests on one thing: taking the adjusted EBITDA margin from about 23% in FY24 to 40% by FY29 while revenue still grows in the mid-teens. The FY29 margin needed for a 20% IRR is 36.9%; for 25% it is 42.5%. If growth slows and the cost programme stalls (Downside), the equity loses about 40% of its value, and cash breaches the assumed operating minimum.

Investment thesis

- **Recurring revenue at scale.** $782m of ARR at June 2024, 9,735 customers, net ARR retention of 106.6% and gross churn of 6.3%. Remaining performance obligations were $1.25bn at December 2023, about two years of revenue.
- **Under-earning for its size.** The H1 FY24 adjusted EBITDA margin was 25.6%. Larger listed peers earn more: Fortinet's non-GAAP operating margin was 28.4% in 2023. Darktrace spends heavily on a direct sales force and on share-based pay (6.9% of revenue), both of which a private owner can reshape.
- **A price below public peers.** The offer was 6.2x NTM revenue against a peer median of 8.2x and 8.1x LTM revenue against a 2019 to 2022 take-private median of 11.7x.
- **A sponsor with a repeatable plan.** Thoma Bravo has taken private Sophos, Proofpoint, SailPoint, Ping Identity and ForgeRock since 2019. The cost and pricing playbook is known to its operating team and to its lenders.

Transaction

Sources	$m	Uses	$m
First-lien term loan	1,735	Equity purchase ($7.75 x 685.8m shares)	5,315
Second-lien term loan	410	OID (0.5% on both tranches)	11
Target cash above $100m minimum	283	Financing fees (2.5% of debt)	54
Sponsor equity	3,001	Advisory and deal fees (1% of EV)	50
Total	**5,429**	**Total**	**5,429**

Entry EV is $4,992m: 8.1x LTM revenue, 6.4x FY24 ARR and 34x LTM adjusted EBITDA of $146m. Sponsor equity is 55% of the capital, which is normal when a sponsor buys software on recurring revenue rather than on EBITDA.

Financing

Tranche	Amount	Pricing	OID	Tenor	Cumulative leverage
First-lien term loan	1,735	SOFR + 325bp	99.5	7 years	11.9x LTM EBITDA
Second-lien term loan	410	SOFR + 525bp	99.5	8 years	14.7x LTM EBITDA

Goldman Sachs underwrote $2,145m of interim facilities at announcement ($1,685m first lien, $460m second lien). In syndication the first lien was upsized by $50m and priced at the tight end of talk, and the second lien cut to $410m. Total debt is 14.7x LTM adjusted EBITDA, 9.7x FY25 base-case EBITDA and 2.7x ARR. Lenders were underwriting recurring revenue and the cost plan, not current earnings.

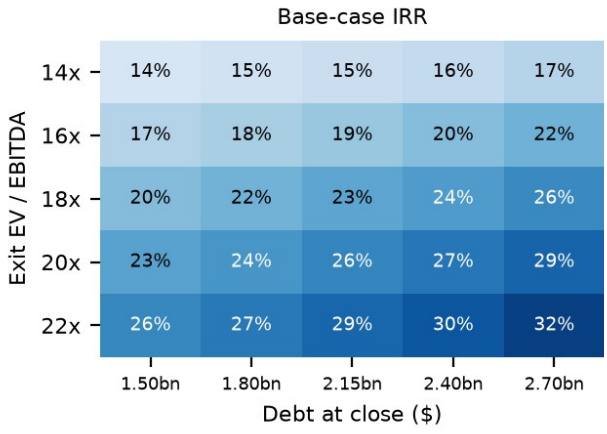
Two features matter for cash. First, FY25 interest cover is 1.3x and free cash flow after interest is slightly negative in the base case, leaving $77.8m cash, $22.2m below the assumed operating minimum. Second, the UK corporate interest restriction caps deductible interest at 30% of tax-EBITDA. In FY25 only $50m of $132m of interest is deductible, so the company pays tax while barely covering its interest. The full shield is available from FY28 as EBITDA grows.

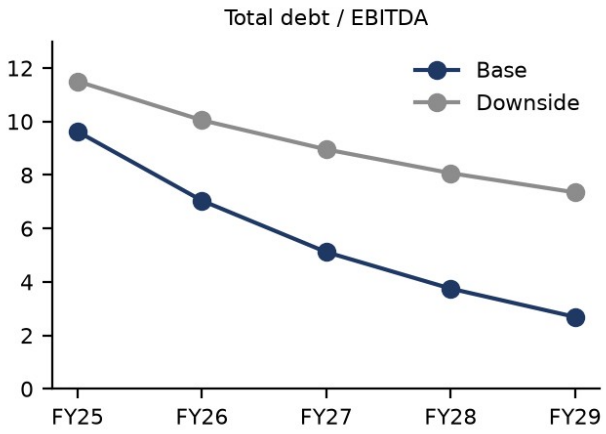
Operating case

$m	FY24 proxy	FY25E	FY26E	FY27E	FY28E	FY29E
Revenue	690	821	960	1,104	1,248	1,397
Growth	26%	19%	17%	15%	13%	12%
Adjusted EBITDA	159	222	298	386	474	559
Margin	23%	27%	31%	35%	38%	40%
FCF after interest and tax		(9)	65	146	226	298
Net debt (excluding leases)		2,054	1,989	1,843	1,617	1,318
Total debt / EBITDA	13.5x	9.6x	7.0x	5.1x	3.7x	2.7x

FY25 cash flows cover the nine months after close. FY24 EBITDA uses an assumed 23% margin, as the company stopped giving margin guidance once the offer was made. Growth starts below FY24's 26% because net ARR added was flat in FY24 at $145m. Margin expansion comes from sales and marketing efficiency, G&A savings as a private company and slower hiring. Capex stays at 2.4% of revenue, and deferred revenue adds a working capital inflow of 10% of revenue growth. Three quarters of excess cash above $100m is swept to the first lien after 1% amortisation.

Returns





Sponsor value bridge	$m
Sponsor equity in	3,001
EBITDA growth ($146m to $559m) at the 34x entry multiple	14,117
Multiple change, 34x LTM to 18x exit	(9,049)
Net debt paid down	727
Fees and OID	(114)
Management incentive plan (8% of exit equity)	(695)
Sponsor exit proceeds	**7,987**

The bridge shows the shape of the bet. Thoma Bravo paid 34x trailing EBITDA and exits at 18x, so EBITDA has to nearly quadruple just to stand still on the multiple. The 18x exit is not aggressive: on FY29 revenue it is 7.2x, the same EV/revenue multiple paid at entry on FY24 revenue. Debt paydown adds little; this is an operating return, not a leverage return.

At 14x the base-case IRR falls to 15%; at 22x it rises to 29%. More debt raises the IRR (26% with $2.7bn at 18x), but first-year interest cover is already thin, so the committed $2.1bn is close to the sensible maximum. The price ceiling for a 20% IRR is $8.27 (661p) and for 25% it is $7.41 (593p). The deal was struck between the two.

Downside

Revenue growth slows to 12% in FY25 and 5% by FY29, and the margin only reaches 28%. FY29 EBITDA is $281m, half the base case.

- Leverage stays above 7x through FY29 and interest cover never reaches 2x.
- Cash falls to a low of $19m in FY27 and there is no cash sweep in any year. The $100m operating minimum is breached in every forecast year, with an $80.8m maximum shortfall. No revolver draw or its interest is modelled.
- At a 14x exit the sponsor gets back 0.58x (IRR minus 11%). Even at 18x the IRR is minus 2%.

Positive year-end cash does not establish debt safety. The model has no intra-year liquidity, covenant or refinancing test.

Key risks

- **Growth.** Net new ARR stopped growing in FY24. If the newer products (email, cloud, OT) do not add ARR, the 15% average growth in the base case is too high. Mitigant: retention improved through FY24.
- **Cost cuts that damage selling.** Darktrace wins customers through a large direct sales force and proof-of-value trials. Cutting too fast to reach 40% margins could slow new logos. Mitigant: phase the cuts against ARR milestones.
- **Competition.** CrowdStrike, Palo Alto Networks and Microsoft bundle detection and response into broader platforms. Darktrace's network detection niche could be squeezed on price.
- **Rates.** Every 100bp on SOFR costs about $21m a year of interest on the full debt.
- **Exit.** The base case assumes an 18x EBITDA exit in 2029. Each 2x change in the exit multiple moves the IRR by 3 to 4 points.

Exit routes

A sale to a strategic security platform is the natural exit once margins are at 40%: by then Darktrace is a profitable network and email detection business that a larger vendor can bolt on. A sale to another sponsor is the second route; at 2.7x leverage in FY29 the business can carry a fresh debt package. A relisting, in New York rather than London, is the third route and the least certain.

Conditions for approval

The base operating plan at an 18x exit returns 22.9%. A uniform margin-path reduction to a 36.9% terminal margin clears 20% only with that 18x exit and the other inputs fixed. At 16x, the full base plan returns 19.4%; combining 16x with a 37% terminal margin returns 16.6%. These sensitivities cannot be treated as independent minimum conditions.

Fund the $22.2m base and $80.8m downside cash shortfalls before approval. They measure gaps to the assumed operating minimum, not committed facility sizes. Financing would add fees and interest and change returns. Confirm final loan documents, covenants, security and liquidity access. The 30% tax-interest cap is a simplified proxy; tax attributes and carryforwards are omitted.

Sources: Rule 2.7 announcement (26 Apr 2024) for price, interim facilities and offer multiples; Bloomberg Law (26 Apr and 13 Jun 2024) and PitchBook LCD for the syndicated loan terms; Darktrace H1 FY24 results and Q4 FY24 trading update for history; gov.uk for the corporate interest restriction. Full list on the model's Sources sheet.